

**ADDENDUM TO PURCHASE AGREEMENT — SELLER
FINANCING, MORTGAGE OR DEED OF TRUST****IF THE PARTIES ARE ENTERING INTO A REAL ESTATE CONTRACT, USE NMAR FOR 2402 - REAL
ESTATE CONTRACT ADDENDUM****ATTENTION BUYER AND SELLER**

Effective January, 2014, the Truth in Lending Act (TILA) has placed restrictions on seller financing.

These restrictions apply to most TRANSACTIONS SECURED BY A DWELLING. Sellers should review NMAR Form 2405 – Information Sheet – Seller Financing Under the Truth in Lending Act and consult with a real estate attorney, if necessary, to determine the applicability of these provisions to this transaction and if applicable, to ensure that they are in compliance with the TILA provisions.

This is not a promissory note, mortgage or deed of trust. This addendum sets forth the main terms of such documents. The parties must employ legal counsel to draft the necessary promissory note and mortgage or deed of trust. Such documents shall incorporate the terms to which the parties have agreed in this Addendum, along with many other provisions.

This SELLER FINANCING ADDENDUM is part of the Residential Purchase Agreement (“Purchase Agreement”) dated _____, between _____ (“Buyer”) and _____ (“Seller”).

Relating to the following property:

Address (Street, City, State, Zip Code) _____

Legal Description _____

Or see metes & bounds description attached as Exhibit _____, _____ County(ies), New Mexico (“Property”).

The terms of this Addendum are hereby incorporated as part of the Agreement.

In the event of multiple Buyers, Buyers are purchasing as:

- ☐ Tenants In Common
☐ Joint Tenants
☐ Other _____

Broker is not permitted to advise Buyers as to how Buyers should take title. Buyers are advised to seek the advice of an attorney if necessary.

1. CREDIT DOCUMENTS. Seller's extension of credit to Buyer shall be evidenced by: (check applicable)

- A. ☐ Promissory Note and Mortgage (“Credit Documents”)
 B. ☐ Promissory Note and Deed of Trust (“Credit Documents”)
 C. ☐ Promissory Note and All-Inclusive Deed of Trust (“Credit Documents”) – **TO BE USED IF SELLER HAS AN EXISTING MORTGAGE ON THE PROPERTY THAT WILL NOT BE PAID OFF AND INSTEAD WILL BE WRAPPED INTO THE ALL-INCLUSIVE DEED OF TRUST. PARTIES ARE ADVISED TO CONSULT A REAL ESTATE ATTORNEY AND PROFESSIONAL TAX ADVISOR ON THE IMPLICATIONS OF SUCH A TRANSACTION.**

- i. Approximate amount of First Mortgage \$ _____
 ii. Name of Holder of First Mortgage _____

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2. **CREDIT TERMS.** The terms of the applicable Credit Documents referred to in Paragraph 1 above, along with other Credit terms set forth herein, (collectively referred to as “Credit Terms”) are as follows:
- A. Principal Amount of the Promissory Note: \$ _____ ;
 - B. Interest per annum: _____ percent. (“Interest Rate”);
 - C. Payable at approximately \$ _____ per _____ (“Payment Estimate”);
PAYMENT ESTIMATE IS APPROXIMATE; SELLER SHALL PROVIDE BUYER WITH AN AMORTIZATION SCHEDULE BASED ON THE CREDIT TERMS AT CLOSING;
 - D. Entire unpaid balance of principal plus accrued interest to be paid in full within months from date of the Promissory Note. NOTE: TILA prohibits “balloon” payments under certain circumstances; See NMAR Form 2405 – Information Sheet – Seller Financing Under the Truth in Lending Act and consult with a real estate attorney, if necessary;
 - E. First payment due date: _____ and monthly thereafter on the _____ of each month;
 - F. Any payment not made within _____ days after it is due is subject to a late charge of \$ _____ or _____ % of the installment due, whichever is greater;
 - G. Amounts in default shall bear interest at a rate of _____ % per annum;
 - H. All or part of the principal balance on the Note may be paid prior to maturity without penalty.
 - I. Additional principal payments, balloon payments or other terms as follows: _____

3. **APPLICATION OF PAYMENTS.** Interest shall be applied as indicated (Initial Applicable)
- A. ☐ **PERIODIC INTEREST.** Payments received , excepting prepayments, will be applied to regularly scheduled installments in the order in which payments are due and will be credited as though payments had been made on their respective due dates, first to interest and then to the balance on the Promissory Note.
 - B. ☐ **DAILY INTEREST.** Payments will be applied as of the date of receipt, first to accrued interest then to the balance on the Promissory Note.
4. **DUE-ON-SALE CLAUSE.** A Due-on-Sale Clause in favor of the Seller ☐ **WILL** ☐ **WILL NOT** be included in the Credit Documents. A “Due-on-Sale” Clause allows, though does not mandate, that the Seller accelerate the debt owed on the Promissory Note in the event the Buyer transfers any interest in the property.
5. **TRUSTEE.** To be completed if the promissory note will be secured by a Deed of Trust:
- A. Name and Address of Trustee: _____

 - B. Trustee Charges, including charges related to a trustee’s sale in the event of buyer’s default, to be paid as follows:
☐ **BUYER** ☐ **SELLER** ☐ **SPLIT EVENLY BETWEEN THE PARTIES**
6. **USE OF ESCROW AGENT.**
- A. Buyer's payments under Paragraph 2 above shall be made to: ☐ **SELLER** or ☐ **AN ESCROW AGENT**.
If applicable, the following identified Escrow Agent shall be used: ☐ Trustee identified in Paragraph 5(A); OR
☐ Other _____
 - B. Cost of setting up and maintaining the escrow account shall be paid as follows: ☐ as identified in Paragraph 5(B);
OR by: ☐ **BUYER** ☐ **SELLER** ☐ **SPLIT EVENLY BETWEEN THE PARTIES**.
7. **SELLER’S RIGHT TO APPROVE OF BUYER’S FINANCIAL QUALIFICATIONS.**
- A. ☐ **NOT APPLICABLE;** Seller waives the right to approve of Buyer’s financial qualifications. NOTE: In some transactions, TILA requires that the Seller make a good-faith determination that the Buyer can make the required payments; See NMAR Form 2405 – Information Sheet – Seller Financing Under the Truth in Lending Act and consult with a real estate attorney, if necessary;
 - B. **BUYER’S FINANCIAL DOCUMENTATION.** Buyer shall provide Seller with (check applicable):
 - i. ☐ A current and complete financial statement to include, but not be limited to the following: Buyer’s monthly income; Buyer’s current or reasonably expected income or assets; proof of Buyer’s current employment



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status; Buyer's monthly payment(s) on any other loan or loan-related obligations; Buyer's current debt obligations; and Buyer's monthly debt-to-income ratio or residual income; and/or

ii. ☐ A current credit report.

C. FINANCIAL REVIEW PERIOD. If applicable, Buyer shall provide Seller with Buyer's Financial Documentation as selected in Paragraph 7(B) within _____ **DAYS** of this Agreement. Seller shall have the right to object to Buyer's Financial Documentation within _____ **DAYS** after receipt of this requested information from Buyer ("Financial Review Period"). If Seller does not approve of Buyer's Financial Documentation during the Financial Review Period, Seller has the option to terminate this Agreement and Earnest Money shall be refunded to Buyer. If Seller does not **APPROVE** Buyer's Financial Documentation in writing within the Financial Review Period, Seller will be deemed to have **DISAPPROVED** of Buyer's Financial Documentation. In this event, this Agreement shall terminate and earnest money shall be refunded to Buyer.

8. TITLE INSURANCE. Buyer ☐ **SHALL** ☐ **SHALL NOT** provide Seller a lender's policy of title insurance in the amount of the indebtedness to the Seller, and shall pay for such policy at Settlement.

9. BUYER TO PAY INSURANCE, TAXES, ASSESSMENTS AND OTHER FEES.

A. INSURANCE:

i. Buyer will maintain hazard insurance on the Property with an insurance company satisfactory to Seller in the amount of \$ _____

Buyer ☐ **SHALL** ☐ **SHALL NOT** furnish a copy of the insurance policy or certificate of the insurance policy to Seller annually before expiration of existing insurance stating that coverage will not be canceled or diminished without a minimum of fifteen (15) days prior written notice to Seller.

ii. In the event Seller has an existing mortgage on the Property, ☐ **BUYER** ☐ **SELLER** shall maintain the Seller's insurance policy required under Seller's existing obligation.

B. TAXES AND ASSESSMENTS. Buyer will have the property assessed for taxation in Buyer's name shall be responsible for payment of property taxes, to include any assessments ("Taxes").

C. HOMEOWNER/ROAD MAINTENANCE ASSOCIATIONS. Buyer is responsible for all Homeowner Association, Road Maintenance Association or equivalent association dues and assessments ("Association Dues").

D. PAYMENT OF TAXES, INSURANCE AND ASSOCIATION DUES. (CHECK APPLICABLE)

i. ☐ **NEW ESCROW/IMPOUND ACCOUNT.**

In addition to the periodic payments, the Buyer shall remit to the Escrow Agent (as identified in Paragraph 6) with each such payment a prorated amount for the payment of the following:

- ☐ Annual property taxes;
- ☐ Annual Buyer's hazard insurance premiums;
- ☐ Annual Seller's hazard insurance premiums (in the event Seller has an existing mortgage on the Property);
- ☐ Annual Association Dues.

The sum may be adjusted for increases and/or decreases in taxes and/or insurance as determined by the Escrow Agent. The Escrow Agent shall use said funds as required to pay taxes and applicable hazard insurance premiums as they become due;
 OR

ii. ☐ **DIRECT PAYMENT OF PROPERTY TAXES, HAZARD INSURANCE AND ASSOCIATION DUES.** Buyer shall be responsible for payment of all property taxes, insurance and Association Dues directly to the applicable treasurer, insurance company and/or association as required by those entities and shall provide proof of payment to the Seller.

10. DISCLOSURE OF TAX IDENTIFICATION NUMBERS. By no later than Settlement/Signing Date, Buyer and Seller shall disclose to each other their respective Social Security Numbers or other applicable tax identification numbers so that they may comply with federal laws on reporting mortgage interest in filings with the Internal Revenue Service.

11. DEFAULT. The Promissory Note shall have a 30-day clause to cure default.

If any term of this Addendum modifies or conflicts with any provision of the Agreement, including all prior addenda and counteroffers, the terms of this Addendum shall control.



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BUYER(S)

Buyer Signature	Print Name	Date	Time
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Buyer Signature	Print Name	Date	Time
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SELLER(S)

Seller Signature	Print Name	Date	Time
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Seller Signature	Print Name	Date	Time
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